

compelling reason to always have insurance coverage. Auto insurance is designed to reimburse you for damages to your property (the car and its contents) and for liability claims that other people make against you. Just because Carlos considered himself to be a good driver doesn't mean that other drivers are "good" drivers. It usually takes at least two to get into an accident.

Remember Murphy's Law—what can go wrong probably will. Your car can be stolen, another driver may back their car into yours, or a driver you hit may be injured. These events aren't planned; they just happen. Some unfortunate incidents are minor. If your car radio gets stolen, it can be replaced without a huge expense. But other events can be disastrous. If you cause a car accident and injure other people, for example, you could face significant financial and legal problems for years.

After Carlos filed his bankruptcy, he should have minimized his accumulation of additional expenses and debt since, as noted earlier, he would not be able to file another Chapter 7 bankruptcy for eight more years. By getting a car loan, he was making a very risky decision. He should have scaled down his choice. That way he could have saved his money and paid cash for a used pickup instead of needing a loan. It might not have been as nice of a pickup as the one he got, but at least he wouldn't have lost one quarter of his paycheck!

You Could Always Live in Your Car

The type of car that you drive is viewed by many as a status symbol. The more expensive the car, the more successful the driver. This correlation may not be the case at all, but on first glance many make that assumption. If the image that you project is important to you, then the type of automobile that you drive can be influenced by your need to fit this image.

As long as you can afford the particular car that will portray the image that is important to you, you will not face a financial dilemma. The problem results when your finances

